

Table of Contents

1. Executive Summary

2. Company Overview

3. Financial Analysis

a. Debt Structure

b. Dividend Policy

c. Weighted Average Cost of Capital (WACC)

d. ESG Analysis

4. Valuation & Future Direction

a. Valuation

b. Future Direction

5. References

6. Appendices

Executive Summary

This report examines key financial data for Metro Inc. and evaluates its stock price to better understand how it is competing in the Canadian grocery industry. It analyzes Metro's debt structure, cost of capital, and dividend policy, and how these factors contribute to its competitive advantage. The report also explores how ESG has been incorporated into Metro's strategy and the value it creates. The findings show that Metro maintains a stable debt profile with only two major maturities and a balanced debt-to-equity ratio, reducing exposure to interest rate risk. In addition, Metro's consistent dividend payments and share repurchases help strengthen investor confidence, while its lower cost of capital allows it to grow more efficiently compared to competitors. ESG has also been a key part of Metro's long-term strategy, supporting its commitment to sustainability and responsible operations.

Based on the DCF model, the analysis estimates an implied share price of \$152.68 compared to the current price of \$98.79, indicating that the stock is undervalued by approximately 55%. This suggests strong upside potential supported by Metro's financial stability and strategic positioning. To further enhance growth and shareholder value, the report recommends a horizontal acquisition of Longo's, which would allow Metro to increase market share, achieve synergies, and strengthen its position within the competitive grocery industry.

Industry Overview

The Canadian grocery industry is an oligopolistic market dominated by five major competitors: Loblaw Companies Limited, Sobeys Inc., Metro Inc., Costco, and Walmart. These firms control most of the industry's revenue and market share and often own smaller chains that offer differentiated value propositions. For example, Metro owns Food Basics, a discount retailer that offers lower-priced, lower-quality goods targeting price-sensitive

consumers. Similarly, Loblaw owns Shoppers Drug Mart and No Frills, while Sobeys owns Farm Boy and Longo's (Government of Canada, 2023).

Metro also operates three private label brands targeting different customer segments. Irresistibles is a premium brand aimed at less price-sensitive consumers seeking high-quality products. Life Smart offers similar quality but focuses on health-oriented options, while Selection is a value brand designed for budget-conscious consumers (Our Products and Private Brands, n.d.).

The industry is currently facing high inflation, with Canada experiencing the highest food inflation rate in the G7 (Charlebois, 2026) and grocery prices rising 22% since 2022 (Bilyk, 2026). The "Buy Canadian" movement, driven by U.S. tariffs, presents both cost pressures and marketing opportunities for firms to promote locally sourced products (Innes-Leroux, 2025). Additionally, online ordering and home delivery are becoming increasingly popular due to consumer demand for convenience (Casaletto, 2025).

Financial Analysis

Debt & Capital Structure

The company's debt structure over the period from 2026 to 2029 is relatively straightforward, with only two significant maturities: CAD 450 million in 2027 and CAD 500 million in 2029. This distribution reduces the risk of facing a large repayment obligation in a short period. However, the 2029 maturity remains sizable, and refinancing costs could increase if interest rates stay elevated.

The weighted average coupon rate of 3.71% is relatively moderate, showing that the company is borrowing at an acceptable cost. Furthermore, both bonds have fixed interest rates, reducing the risk associated with interest rate fluctuations and inflation. This is crucial

in today's unstable economic environment. For its capital structure, the debt-to-capital ratio of 0.41 indicates a moderate use of debt within the overall capital structure. This level of debt-to-capital ratio indicates that the company is balancing debt and equity financing in a careful manner. It gains benefits from the tax advantages of debt while maintaining sufficient financial flexibility and avoiding excessive financial risk.

Overall, the company's capital structure appears stable, with manageable refinancing risk, moderate leverage, and limited exposure to interest rate fluctuations.

Dividend Policy

Over the past five years, Metro has maintained a steady growth trend. Earnings per share (EPS) have increased from \$1.00 in 2021 to \$1.48 in 2025. The dividend payout ratio has consistently remained between 27% and 32%, demonstrating efficient financial management. By allocating a portion of profits, the company can both reward shareholders and retain sufficient funds for its own operations and development. This payout level indicates that dividends can be sustained even with earnings fluctuations.

Metro also implements a stock repurchase program, planning to repurchase over \$800 million worth of shares by 2025. Stock repurchases reduce the number of outstanding shares, thereby increasing EPS and enhancing shareholder investment value over time. This demonstrates the company's stable cash flow and management's confidence in its financial health.

In summary, dividend growth and large-scale stock repurchases indicate a sound financial condition and robust operations. Metro pays a moderate dividend. Its reinvestment capacity suggests continued growth potential. Simultaneously, they can continue to generate profits for shareholders.

Weighted Average Cost of Capital (WACC)

Metro's weighted average cost of capital (WACC) is approximately 4.076%, which is lower than the competitors' average of 4.842%. This comparison is based on competitor capital structure and market inputs extracted from S&P Capital IQ and compiled in Excel (see Appendix 1). A lower WACC indicates a reduced overall cost of financing, which can lower the firm's hurdle rate for new investments. This positions Metro at a competitive advantage from several perspectives.

A lower WACC allows Metro to pursue a greater number of projects with positive NPVs compared to competitors. Because future cash flows are discounted at a lower rate, they carry a higher present value. This makes Metro more likely to accept profitable investments that higher-WACC competitors might reject, such as store renovations, advanced distribution systems, online shopping applications, or acquisitions. These investments can strengthen operational performance and generate additional future cash flows, creating a virtuous cycle of growth.

Metro can also raise capital more cheaply than many of its peers. Investors may require a lower return on equity if they perceive Metro as a lower-risk business. Similarly, lenders such as banks may offer debt at more favorable rates if they view Metro as financially stable. With lower financing costs across both equity and debt, Metro can enhance profitability more effectively.

With cheaper access to capital, Metro can expand more easily, respond more quickly to strategic opportunities, and continue investing even when market conditions become more challenging. In other words, a lower WACC supports faster and more flexible business growth. In a competitive food retailing industry, this enables Metro to better maintain store quality, strengthen operational effectiveness, and enhance its market position over time.

Lastly, Metro's relatively low beta of 0.38 compared to competitors is itself an advantage. A lower beta suggests that the market views Metro's equity as less risky and cash flows as more stable. Greater stability gives the firm more flexibility to plan sustainable growth through investment without facing pressure by high required returns.

ESG Analysis

Laying at the core of Metro Inc's strategy is a clear responsibility to uphold its ESG commitments across all areas of its operation. The company's environmental strategy focuses on reducing emissions, managing waste and cutting down food waste. These priorities are central to the food distributor's business model, and Metro has implemented actionable strategies to meet these targets. The company has adopted science based greenhouse gas reduction targets, including a commitment to reduce Scope 1 and 2 emissions by 42% by 2030 (METRO, n.d.). They are also working to improve energy efficiency, optimize transportation and shrink the environmental footprint of their stores and distribution centers.

Similar to the importance of environmental responsibilities, on the social front Metro emphasizes strong relationships with employees, customers, suppliers and the communities it serves. The company frames its social mission around "nourishing the health and well being of our communities", which is supported through food donation programs, partnerships with local organizations and investments in community health initiatives (METRO, n.d.). Internally, Metro prioritizes equity, diversity and inclusion and employee health and safety. The company runs programs that support representation, leadership development and internal mobility, with participation from women and people from culturally diverse employees increasing from 63% to 71% (METRO Inc., 2025). These initiatives reflect Metro's view that social responsibility is integral to its role as a major employer and essential service provider.

Metro's governance framework reinforces its environmental and social priorities through consistent, transparent oversight. They have used supplied assessments, responsible procurement standards and annual Corporate Responsibility Reports to track progress and ensure transparency. Metro has also built ESG oversight into their executive and board structures. By incorporating sustainability from the top down, Metro treats ESG as a core part of how it operates, manages risk and creates long term value.

Valuation & Future Direction

Valuation

A DCF valuation was conducted to estimate the implied share price of Metro Inc. as of December 31, 2025. Revenue and operating cost forecasts were based on a weighted average of the past two years of historical data, reflecting Metro's stable growth as a mature company. A market comparables analysis was also performed (see Appendix 2), but the implied share price is based on the DCF, as it better captures Metro's intrinsic value through its stable and predictable cash flows.

The DCF model is appropriate for valuing Metro and similar firms in the grocery retail industry, as demand is relatively stable and revenues are predictable. Metro generates consistent cash flows, experiences low volatility, and has modest growth (Dong, 2025). DCF models are best suited for firms with stable, sustainable growth rather than uncertain or rapidly changing performance (CFI Team, 2018), which aligns with the grocery retail industry.

Based on the DCF model, Metro's implied share price is \$152.68 as of December 31, 2025, compared to the market price of \$98.79, indicating a 55% undervaluation (see Appendix 2). This is driven by model assumptions, including a low WACC reflecting stable cash flows and a conservative terminal growth rate consistent with a mature firm. Metro's

investment in supply chain automation supports the valuation by improving efficiency and long-term cash flows, though this may not yet be reflected in the market price (Metro Inc., 2025). A sensitivity analysis shows the valuation is most sensitive to WACC and terminal assumptions, while projected free cash flows have a more moderate impact (see Appendix 2).

Future Direction

A horizontal acquisition of Longo's represents a strong strategic direction for Metro and a credible path to long term value creation. Metro operates in a mature and highly competitive grocery market where organic growth is steady and limited, which contains the impact of internal initiatives. Acquiring Longo's would expand Metro's presence in the premium grocery segment while strengthening its overall banner portfolio. Longo's is known for high quality fresh foods, prepared meals and private label offerings which align closely with Metro's strengths. This strategic fit supports meaningful cost and revenue synergies through procurement scale, more efficient distribution and the expansion of higher margin private label production. Longo's e-commerce platform, Grocery Gateway, would also accelerate Metro's digital presence, where it currently lags behind competitors.

A relevant comparable transaction is Empire's acquisition of Farm Boy, completed at an estimated multiple of 14x EBITDA (Expire Company Limited, 2018). Farm Boy and Longo's occupy similar premium, fresh focused market positions, making this a meaningful benchmark. Relative to this comparable, Metro's implied share price of \$152.68 and estimated 55 percent upside indicate that the market is undervaluing Metro's long term cash generation and financial capacity. Metro is well positioned to finance the acquisitions through a mix of debt and cash while maintaining balance sheet flexibility.

As an alternative, Metro could pursue an internal growth project focusing on expanding prepared foods and private label production capacity. This would require upfront

capital expenditures, higher depreciation, incremental working capital and increasing operating costs. However, it would also be supported by higher margin revenues and operative leverage. The project would likely generate a positive net present value, though its scale and strategic reach are more limited.

While both options create value, the Longo's acquisition offers a broader strategic impact and a stronger contribution to Metro's longer term competitive position and shareholder value.

References

- [1] Bilyk, O. (2026, February). *Understanding the resurgence of food inflation in 2025*. Bank of Canada. <https://www.bankofcanada.ca/2026/02/sparks-at-bank-article-2026-3/>
- [2] Casaletto, L. (2025, March 14). *Grocers doubled down on online grocery shopping when COVID hit. Is it here to stay?* CityNews Toronto.
<https://toronto.citynews.ca/2025/03/14/online-grocery-shopping-canada-instacart/>
- [3] Charlebois, D. S. (2026, March 17). CHARLEBOIS: *Canada's food inflation slowing — but the squeeze isn't over*. Toronto Sun.
<https://torontosun.com/opinion/columnists/canada-food-inflation-slowing-but-squeeze-isnt-over>
- [4] Competition Bureau Canada. (2023, June 27). *Canada needs more grocery competition: Competition Bureau retail grocery market study report*. Government of Canada.
<https://competition-bureau.canada.ca/en/how-we-foster-competition/education-and-outreach/canada-needs-more-grocery-competition>
- [5] Corporate Finance Institute. (2018). *Stable growth vs. 2-stage valuation model*.
<https://corporatefinanceinstitute.com/resources/financial-modeling/stable-growth-vs-2-stage-valuation-model/>
- [6] Dong, M. (2025, January 30). *Loblaw, Empire: Canadian grocery stocks face pressure as competition heats up*. Yahoo Finance.
<https://ca.finance.yahoo.com/news/loblaw-empire-canadian-grocery-stocks-150000668.html>
- [7] Empire Company Limited. (2018, September 24). *Empire Company reaches agreement to acquire Farm Boy, Ontario's fastest-growing food retailer*.

<https://www.empireco.ca/news/empire-company-reaches-agreement-to-acquire-farm-boy-ontarioaposs-fastest-growing-food-retailer>

[8] Innes-Leroux, M. (2025, March 17). *Explaining the Buy Canadian movement: Q&A with expert François Neville*. DeGroote School of Business, McMaster University.

<https://degroote.mcmaster.ca/articles/explaining-the-buy-canadian-movement-qa-with-expert-francois-neville/>

[9] METRO Inc. (2025). *Annual report 2025*.

https://corpo.metro.ca/userfiles/file/PDF/Rapport-Annuel/2025/en/annual_report_2025_EN.pdf

[10] METRO Inc. (n.d.). *Environment*. METRO.

<https://corpo.metro.ca/en/corporate-social-responsibility/environment.html>

[11] METRO Inc. (2025, December 15). *Metro corporate responsibility report – 2025 fiscal year*. METRO. <https://corpo.metro.ca/userfiles/file/PDF/2025-cr-report.pdf>

[12] METRO Inc. (n.d.). *Our approach*. METRO.

<https://corpo.metro.ca/en/corporate-social-responsibility.html>

[13] Metro. (n.d.). *Our products and private brands*.

<https://www.metro.ca/en/our-products-private-brands>

Appendices

Appendix 1. WACC Inputs and Competitors Data from S&P Capital IQ

Market data, capital structure inputs, and other WACC-related assumptions for Metro Inc. and its competitors were extracted from S&P Capital IQ on March 14, 2026, and compiled in Excel for calculation purposes. The table below summarizes the key inputs used in estimating the weighted average cost of capital.

Company Name	Beta (5Y)	Total Debt (in million)	Interest Expense (in million)	Debt Value / Total Capital (D/V)	Equity Value / Total Capital (E/V)	Minority Interest / Capital (MI/V)
Loblaw Companies Limited (TSX:L)	0.42	16305.0	763.0	59.3%	40.1%	0.6%
Empire Company Limited (TSX:EMP.A)	0.41	7610.0	287.4	57.5%	41.5%	1.0%
Saputo Inc. (TSX:SAP)	0.14	3509.0	112.0	34.4%	65.6%	0.0%
Alimentation Couche-Tard Inc. (TSX:ATD)	0.76	15722.6	655.9	50.3%	49.2%	0.5%
Colruyt Group N.V. (ENXTBR:COLR)	0.52	916.1	17.7	22.7%	77.3%	0.0%
Weis Markets, Inc. (NYSE:WMK)	0.45	175.2	0	11.5%	88.5%	0.0%
Casey's General Stores, Inc. (NasdaqGS:CASY)	0.65	2895.7	116.9	42.9%	57.1%	0.0%
Shoprite Holdings Ltd (JSE:SHP)	0.44	57139.0	4394.0	65.1%	35.0%	-0.1%
Yonghui Superstores Co., Ltd. (SHSE:601933)	0.42	14989.9	731.1	81.1%	20.0%	-1.1%
Woolworths Group Limited (ASX:WOW)	0.38	17198.0	842.0	78.3%	21.1%	0.6%

Figure 1A. Raw inputs from S&P Capital IQ

Appendix 2. DCF Valuation and Comparables Analysis

Comparable analysis of Metro Inc. using competitors Loblaw's Companies Limited and Empire Company Limited. Data was found using Capital IQ and inputted in Excel to form the analysis. Below is a summary of the results.

Comparable Company Analysis (\$M)									Multiples		
Company	Ticker	Market Cap	Shares Outstanding	Share Price	Enterprise Value	Revenue	Net Income	EBITDA	EV/Revenue	EV/EBITDA	P/E
Loblaw's Companies Limited	TSX:L	75,280.40	1,169.30	64.38	90,708.40	63,903.00	2,667.00	5,635.00	1.4x	16.1x	28.2x
Empire Company Limited	TSX:EMP.A	11,466.90	226.70	50.58	19,189.90	31,858.00	159.00	2,373.00	.6x	8.1x	72.1x
Metro Inc.	TSX:MRU	20,499.1	211.7	96.8	25,366.7	22,175.4	983.7	1,865.6	1.1x	13.6x	20.8x
Minimum									.6x	8.1x	20.8x
25th Percentile									.8x	10.1x	39.2x
Median									1.0x	12.1x	50.2x
75th Percentile									1.2x	14.1x	61.1x
Maximum									1.4x	16.1x	72.1x
Implied Valuation											
Minimum									13357.51	15086.67	20499.10
25th Percentile									17887.47	18822.80	38560.73
Median									22417.42	22558.92	49354.93
75th Percentile									26947.37	26295.04	60149.13
Maximum									31477.32	30031.16	70943.33
Equity Value											
Minimum									8489.91	10219.07	20499.10
25th Percentile									13019.87	13955.20	38560.73
Median									17549.82	17691.32	49354.93
75th Percentile									22079.77	21427.44	60149.13
Maximum									26609.72	25163.56	70943.33
Share Price											
Minimum									40.10	48.27	96.83
25th Percentile									61.50	65.92	182.15
Median									82.90	83.57	233.14
75th Percentile									104.30	101.22	284.12
Maximum									125.70	118.86	335.11

Figure 2A. Metro's implied valuation based on comparable company multiples.

Forecast Financials (DCF Table)											
Fiscal Years Ending September 30th	F2021A	F2022A	F2023A	F2024A	F2025A	F2026E	F2027E	F2028E	F2029E	F2030E	F2031E
Period	-4	-3	-2	-1	0	1	2	3	4	5	6
Revenue	18283.00	18888.90	20724.60	21219.90	22006.70	22677.66	23369.33	24082.09	24816.59	25573.50	26353.49
% Growth	n.a	3.31%	9.72%	2.39%	3.71%	3.05%	3.05%	3.05%	3.05%	3.05%	3.05%
Less: COGS and other expenses	16562.20	17069.90	18756.00	19233.50	19941.00	20587.50	21241.59	21946.53	22662.89	23400.80	24166.88
% Growth	n.a	3.07%	9.88%	2.55%	3.68%	3.24%	3.18%	3.32%	3.26%	3.26%	3.27%
EBITDA	1720.80	1819.00	1968.60	1986.40	2065.70	2090.16	2127.74	2135.56	2153.70	2172.70	2186.62
% Margin	9.41%	9.63%	9.50%	9.36%	9.39%	9.22%	9.10%	8.87%	8.68%	8.50%	8.30%
Less: D&A	478.30	503.30	525.20	570.40	594.40	589.62	607.60	626.13	645.23	664.91	685.19
EBIT	1242.50	1315.70	1443.40	1416.00	1471.30	1500.54	1520.14	1509.43	1508.47	1507.79	1501.43
% Margin	6.80%	6.97%	6.96%	6.67%	6.69%	6.62%	6.50%	6.27%	6.08%	5.90%	5.70%
Tax Rate	26.32%	26.36%	22.92%	25.47%	22.78%	24.77%	24.46%	24.08%	24.31%	24.08%	24.34%
Less: Taxes	327.06	346.83	330.87	360.65	335.12	371.69	371.83	363.47	366.73	363.07	365.46
EBIAT	915.44	968.87	1112.53	1055.35	1136.18	1128.85	1148.31	1145.95	1141.74	1144.71	1135.97
Plus: D&A	478.30	503.30	525.20	570.40	594.40	589.62	607.60	626.13	645.23	664.91	685.19
Operating cash flow	1393.74	1472.17	1637.73	1625.75	1730.58	1718.46	1755.91	1772.09	1786.97	1809.63	1821.16
Net Working Capital	268.6	230.8	442.8	188.4	607.2	484.32	462.62	533.06	529.98	541.15	565.36
NWC as a % of revenue	1.47%	1.22%	2.14%	0.89%	2.76%	2.14%	1.98%	2.21%	2.14%	2.12%	2.15%
Add/Less: Changes in Working Capital	n.a	-37.80	212.00	-254.40	418.80	-122.88	-21.71	70.44	-3.08	11.17	24.21
Capex as a % of Revenue	2.57%	2.63%	2.80%	2.27%	1.99%	2.45%	2.45%	2.45%	2.45%	2.45%	2.45%
Less: Capex	469.20	497.30	580.70	482.40	438.20	555.60	584.23	602.05	620.41	639.34	658.84
Unlevered Free Cash Flows (FCFF)	n.a	1012.67	845.03	1397.75	873.58	1285.74	1193.38	1099.60	1169.64	1159.11	1138.11
PV of Free Cash Flows	n.a	1141.6	915.3	1454.7	873.6	1235.4	1101.7	975.4	996.9	949.2	895.5

Figure 2B. Metro's historical and projected financial data from years 2021 to 2031.

Terminal Value			Multiple	GRIP
Terminal EBITDA / FCF			2186.6	1138.1
Terminal Multiple / Growth Rate			12.37	1.45%
Terminal Value			27048.4	43970.1
PV of Terminal Value			21283.4	34598.4
PV FCF			6154.2	6154.2
Enterprise Value			27437.6	40752.6
(-) Debt			4867.2	4867.2
(+) Cash			17.9	17.9
Implied Equity Value			32322.7	45637.7
Implied Share Price			Multiple	GRIP
Implied Equity Value	32322.70		152.68	215.58
Implied Upside/Downside			55%	118%

Figure 2C. Calculation of Terminal Value and Implied share price using the DCF analysis of Metro as of December 31, 2025.

Sensitivity Analysis						
WACC						
	152.68	3.10%	3.60%	4.08%	4.60%	5.10%
PV FCF	6400.00	159.69	156.65	153.84	150.86	148.11
	6600.00	160.63	157.59	154.79	151.80	149.05
	6154.20	158.53	155.48	152.68	149.70	146.95
	7000.00	162.52	159.48	156.68	153.69	150.94
	7200.00	163.47	160.42	157.62	154.64	151.89
Terminal EDITDA						
	152.68	1771.15	1967.94	2186.60	2405.26	2645.79
Terminal Multiple	10.02	118.11	125.44	133.58	141.72	150.68
	11.13	125.44	133.58	142.63	151.68	161.63
	12.37	133.58	142.63	152.68	162.73	173.79
	13.61	141.72	151.68	162.73	173.79	185.96
	14.97	150.68	161.63	173.79	185.96	199.34

Figure 2D. Sensitivity analysis for critical parameters used in the DCF analysis.